Kedros Analytics

CUSTOMER PROFILING AND SEGMENTATION

Know Who Is Worth Keeping

Your customer list already shows who is loyal and who has gone quiet. Turn it into segments a marketing team can act on.

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THE OPPORTUNITY

Every customer gets the same email, the same discount

A customer ID, a signup date, a purchase count and a total spent are usually all it takes to do better.

THE BLANKET OFFER

“Same email, same discount, same win-back offer.”

The offer that would have worked on a lapsing big-spender is wasted on someone who was never going to buy again anyway.

SEGMENTS

Who to protect, who to chase, who has gone quiet.

The data is rarely the gap. What is missing is the step that turns a flat customer list into groups a team can act on.

WHAT IT IS

From “we think our regulars matter most” to a ranked answer

Three signals per customer, read two independent ways so they can check each other.

1

Your customer list

One row per customer: signup and last purchase dates, purchase count, total spend, channel.

2

Validate and profile

Bad records are rejected with a reason. The clean base gets a descriptive profile.

3

Two segmentations

RFM rules and KMeans clustering, built on the same three signals.

The three signals: Recency (days since last purchase), Frequency (purchases) and Monetary value (total spend).

WHAT YOU GAIN

Six ways it pays off for a small business

1 Sharper marketing spend

Loyalty or referral offers for Champions, not a blanket discount for everyone.

2 Earlier churn warnings

Recency is an early signal on its own: a regular gone quiet is more urgent than a never-engaged customer.

3 Better product and channel decisions

The channel and demographic mix of your best segment shows where to invest.

4 More efficient acquisition

Profile your best customers to get a template for who to prospect next.

5 A shared vocabulary

“Champions” means the same thing in marketing, sales and finance.

6 Trustworthy inputs

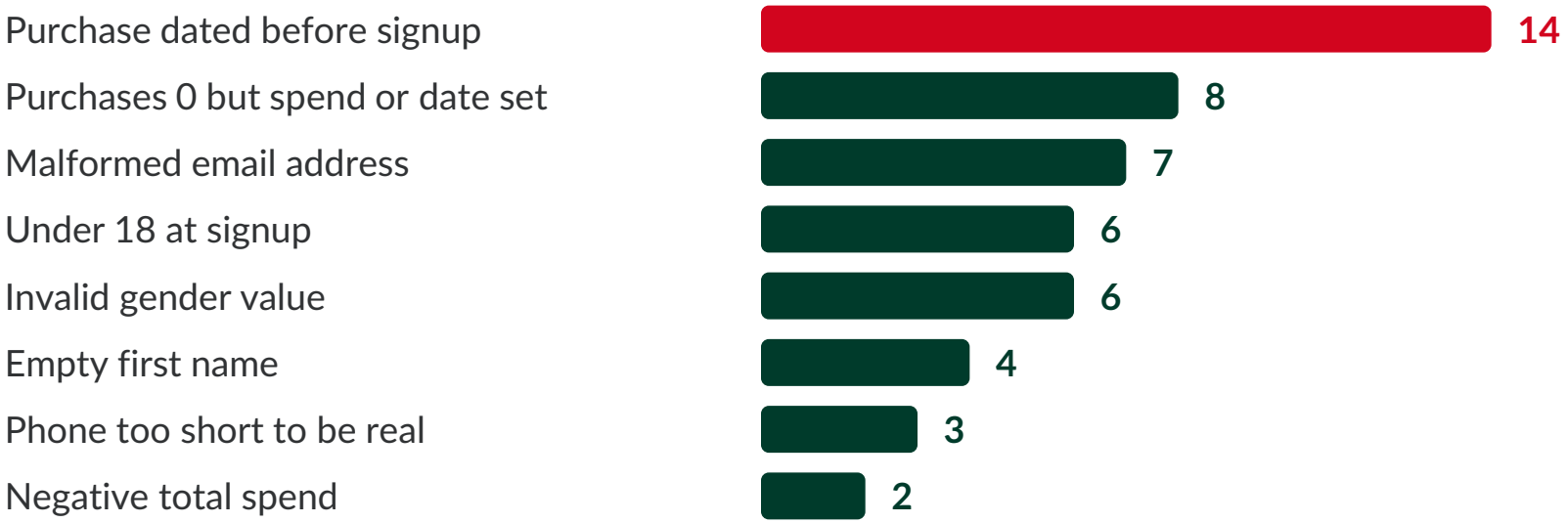
Validating first stops dirty data producing confidently wrong segments.

Highlighted: recency is the cheapest signal to collect and the one most people never look at.

CATCHING BAD RECORDS

Bad records are common enough to change the answer

50 of the 1,000 demo records were rejected, each with a stated reason.



14 of the 50 are a purchase dated before signup: left in, they quietly distort tenure and recency.

Synthetic demo data. Rejected records by failure reason.

THE CUSTOMER BASE AT A GLANCE

One customer in seven has signed up and never bought

Descriptive profile of the 950 clean customers, built before any segmentation.

ACTIVE PURCHASERS

84.7%

Roughly 1 in 7 never bought.

Acquisition and activation are two separate problems.

AVERAGE TOTAL SPEND

$2,914.33

Across 950 clean customers.

The number a top-line report would lead with.

AVERAGE TENURE

882 days

A little over two years.

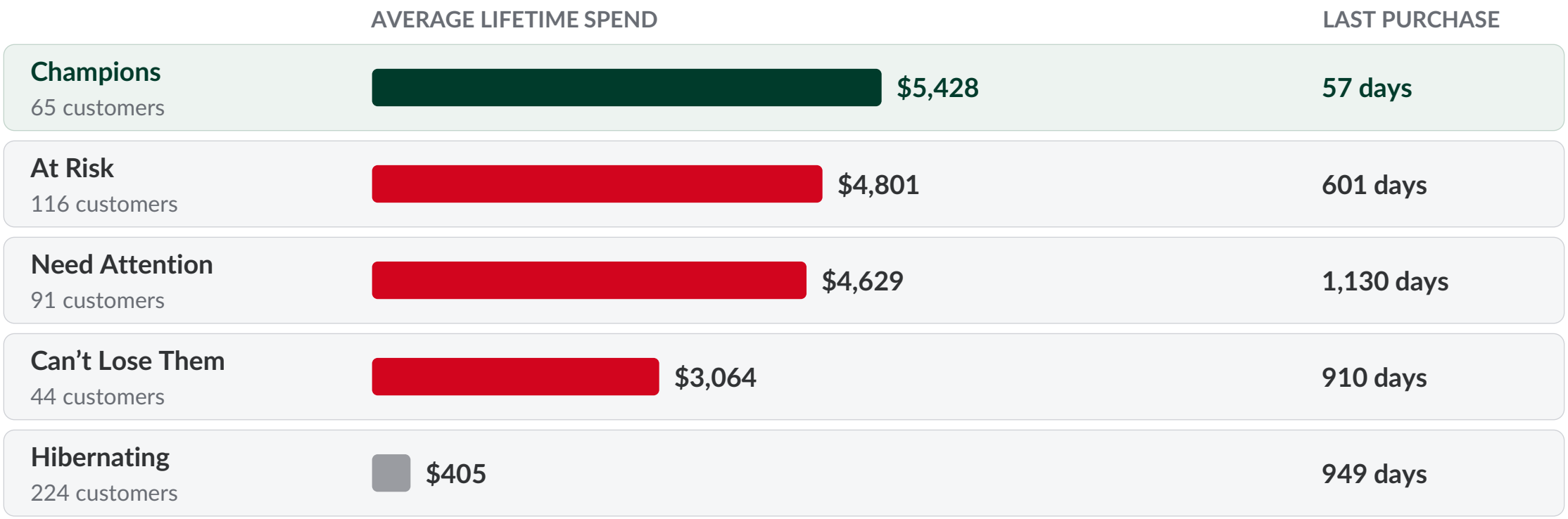
Time since signup, on average.

Activation is the bigger problem: this base has more of it than the average spend figure suggests.

EXAMPLE RESULTS

Three segments spent like Champions, then went quiet

RFM segments of the 950 clean customers: average lifetime spend and days since last purchase.



Synthetic demo data. Red: high spend, slipping recency. Bars scaled to dollars.

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TWO LENSES

One useful disagreement between two methods

The same customers, segmented by rules and by clustering, give different top groups.

RFM · CHAMPIONS

65 customers

Average spend $5,427.90

Last bought 57 days ago

Needs top-quartile recency, frequency and spend at once.

KMEANS · HIGH-VALUE

181 customers

Average spend $7,761.20

Last bought 489 days ago

Groups by distance across all three signals, so a lapsed big spender still lands here.

Neither is more correct. The gap flags high-value customers whose recency has started slipping.

BUSINESS IMPACT

The best win-back pool is not who you would guess

251 customers at risk, needing attention or hard to lose: the same treatment as everyone else today.

$1.11M

of proven historical spend, over three times the $352,814 held by Champions.

About $4,436 each

Average historical spend of these 251 customers, who have already shown they will buy.

Before acquiring anew

A new customer starts with no purchase history at all.

Synthetic demo data (950 clean customers). Win-back rates are not estimated here.

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GET STARTED

What to do this week

Five steps from a CRM export to a win-back list.

1

Export

ID, signup and last purchase dates, purchase count, total spend, channel and demographics.

2

Validate

Catch negative spend and purchases dated before signup before any average is computed.

3

Segment

Score RFM and run KMeans on the same three signals, then compare.

4

Look past Champions

Find customers whose spend rivals your best segment but whose recency has slipped.

5

Act and repeat

Put win-back spend there first. Re-run each quarter: recency moves every day.

Step 4 matters: the best targets are not Champions, who already buy, nor Hibernating, who are gone.

KEEP IT HONEST

The limits worth keeping in mind

The output is an input to a marketing or retention decision, not the decision itself.

1 Describes, not explains

RFM and KMeans show who is high-value or lapsing, not why. That takes a human.

2 Illustrative thresholds

The quartile rules and tier labels are not calibrated. Check segment sizes against your real business.

3 Reflects the past

A score is a snapshot. Habits, life events and competitors shift it, so re-run quarterly.

4 Cluster count matters

KMeans was told to find four. A different number gives a different, not necessarily wrong, picture.

HOW KEDROS ANALYTICS CAN HELP

Try it on your own data, with a free proof of concept

Business questions first, AI as a tool and not a hype machine, and results you can act on straight away.

1

Validate

Check your CRM or e-commerce export for impossible ages, negative spend and inconsistent dates.

2

Profile and segment

Describe the base, then segment it by RFM rules and by clustering, and compare.

3

Act and track

Pick the win-back pool, launch the offer, and monitor results as recency moves.

Free PoC: tailored to your requirements and your company’s analytics maturity.

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Ready to see who your best customers really are?

Let’s spend thirty minutes on your customer data. No commitment, no jargon, and we might even plan a free PoC.

Book a free call

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